INDEPENDENT AUDITOR’S REPORT

To the Members of Apex Auto Components Limited

Report on the Audit of the Financial Statements

Opinion We have audited the accompanying financial statements of Apex Auto Components Limited ("the Company"), which comprise the Balance Sheet as at March 31, 2024, the Statement of Profit and Loss and the Statement of Cash Flows for the year then ended, and notes to the financial statements, including a summary of significant accounting policies and other explanatory information.

In our opinion and to the best of our information and according to the explanations given to us, the aforesaid financial statements give the information required by the Companies Act, 2013 ("the Act") in the manner so required and give a true and fair view in conformity with the accounting principles generally accepted in India, of the state of affairs of the Company as at March 31, 2024, its profit and its cash flows for the year ended on that date.

Basis for Opinion We conducted our audit in accordance with the Standards on Auditing (SAs) specified under section 143(10) of the Act. Our responsibilities under those Standards are further described in the *Auditor’s Responsibilities for the Audit of the Financial Statements* section of our report. We are independent of the Company in accordance with the Code of Ethics issued by the Institute of Chartered Accountants of India together with the ethical requirements that are relevant to our audit of the financial statements under the provisions of the Act and the Rules thereunder, and we have fulfilled our other ethical responsibilities in accordance with these requirements and the Code of Ethics. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

Responsibilities of Management for the Financial Statements The Company’s Board of Directors is responsible for the matters stated in section 134(5) of the Act with respect to the preparation of these financial statements that give a true and fair view of the financial position, financial performance, and cash flows of the Company in accordance with the accounting principles generally accepted in India, including the Accounting Standards specified under section 133 of the Act. This responsibility also includes maintenance of adequate accounting records in accordance with the provisions of the Act for safeguarding of the assets of the Company and for preventing and detecting frauds and other irregularities.

Auditor’s Responsibilities for the Audit of the Financial Statements Our objectives are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor’s report that includes our opinion. Reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with SAs will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these financial statements.

For **V.K. Sharma & Associates**

Chartered Accountants

Firm Registration No.: 102456W

(Sd/-)

Vivek Sharma

Partner

Membership No.: 045982

UDIN: 24045982BGWXYZ1234

Place: Pune

Date: May 15, 2024

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BALANCE SHEET

as at March 31, 2024

(All amounts in ₹ Crores, unless otherwise stated)

Particulars	Note No.	As at March 31, 2024	As at March 31, 2023
I. EQUITY AND LIABILITIES			
(1) Shareholders' Funds			
(a) Share Capital	2	20.00	20.00
(b) Reserves and Surplus	3	52.45	35.00
(2) Non-Current Liabilities			
(a) Long-term Borrowings	4	28.50	32.00
(b) Deferred Tax Liabilities (Net)		2.10	1.80
(c) Long-term Provisions		1.45	1.20
(3) Current Liabilities			
(a) Short-term Borrowings	4	16.50	12.50
(b) Trade Payables		24.80	21.30
(c) Other Current Liabilities		3.20	2.90
(d) Short-term Provisions		1.00	0.80
TOTAL		**150.00**	**127.50**
II. ASSETS			
(1) Non-Current Assets			
(a) Property, Plant and Equipment	5	68.50	62.00
(b) Intangible Assets		1.50	1.80
(c) Capital Work-in-Progress		2.50	1.20
(d) Long-term Loans and Advances		1.00	0.90

Particulars	Note No.	As at March 31, 2024	As at March 31, 2023
(2) Current Assets			
(a) Inventories		42.00	36.50
(b) Trade Receivables		26.50	21.80
(c) Cash and Cash Equivalents		6.40	2.30
(d) Short-term Loans and Advances		1.60	1.00
TOTAL		**150.00**	**127.50**

The accompanying notes are an integral part of the financial statements.

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STATEMENT OF PROFIT AND LOSS

for the year ended March 31, 2024

(All amounts in ₹ Crores, unless otherwise stated)

Particulars	Note No.	Year Ended Mar 31, 2024	Year Ended Mar 31, 2023	Year Ended Mar 31, 2022
I. Revenue from Operations	1	178.45	148.20	115.50
II. Other Income		1.25	0.85	0.60
III. Total Revenue (I + II)		**179.70**	**149.05**	**116.10**
IV. Expenses:				
Cost of Materials Consumed		98.15	81.50	64.20
Changes in Inventories of FG/WIP		(2.50)	(1.80)	(0.90)
Employee Benefits Expense		24.50	21.00	18.50
Finance Costs		5.80	5.20	4.80
Depreciation and Amortization	5	8.50	7.80	6.90
Other Expenses		21.90	18.15	11.30
Total Expenses		**156.35**	**131.85**	**104.80**
V. Profit Before Tax (III - IV)		**23.35**	**17.20**	**11.30**
VI. Tax Expense:				
(1) Current Tax		5.90	4.30	2.85
(2) Deferred Tax		0.30	0.25	0.15
Total Tax Expense		**6.20**	**4.55**	**3.00**
VII. Profit for the Period (V - VI)		**17.15**	**12.65**	**8.30**
Earnings per Equity Share:				

Particulars	Note No.	Year Ended Mar 31, 2024	Year Ended Mar 31, 2023	Year Ended Mar 31, 2022
(1) Basic (₹)		8.58	6.33	4.15
(2) Diluted (₹)		8.58	6.33	4.15

The accompanying notes are an integral part of the financial statements.

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STATEMENT OF CASH FLOWS

for the year ended March 31, 2024

(All amounts in ₹ Crores)

Particulars	FY 2023-24	FY 2022-23	FY 2021-22
A. CASH FLOW FROM OPERATING ACTIVITIES			
Net Profit Before Tax	**23.35**	**17.20**	**11.30**
Adjustments for:			
Depreciation and Amortization	8.50	7.80	6.90
Finance Costs	5.80	5.20	4.80
Interest Income	(0.25)	(0.15)	(0.10)
Operating Profit before Working Capital Changes	**37.40**	**30.05**	**22.90**
Adjustments for Working Capital:			
(Increase)/Decrease in Trade Receivables	(4.70)	(3.50)	(2.80)
(Increase)/Decrease in Inventories	(5.50)	(4.20)	(3.10)
Increase/(Decrease) in Trade Payables	3.50	2.80	2.10
Increase/(Decrease) in Other Liabilities/Provisions	0.60	0.40	0.30
Cash Generated from Operations	**31.30**	**25.55**	**19.40**
Direct Taxes Paid	(5.90)	(4.30)	(2.85)
Net Cash from Operating Activities (A)	**25.40**	**21.25**	**16.55**
B. CASH FLOW FROM INVESTING ACTIVITIES			
Purchase of Property, Plant and Equipment	(15.00)	(12.50)	(8.00)
Purchase of Intangible Assets	(0.50)	(0.30)	(0.20)
Interest Received	0.25	0.15	0.10
Net Cash used in Investing Activities (B)	**(15.25)**	**(12.65)**	**(8.10)**
C. CASH FLOW FROM FINANCING ACTIVITIES			
Proceeds from/(Repayment of) Long-term Borrowings	(3.50)	2.00	1.50
Net increase in Short-term Borrowings	4.00	2.50	1.00

Particulars	FY 2023-24	FY 2022-23	FY 2021-22
Finance Costs Paid	(5.80)	(5.20)	(4.80)
Dividends Paid	(0.75)	(0.50)	-
Net Cash from/(used in) Financing Activities (C)	**(6.05)**	**(1.20)**	**(2.30)**
Net Increase in Cash and Cash Equivalents (A+B+C)	**4.10**	**7.40**	**6.15**
Cash and Cash Equivalents at beginning of year	2.30	(5.10)*	(11.25)*
Cash and Cash Equivalents at end of year	**6.40**	**2.30**	**(5.10)**

**Note: Negative figures in opening balances represent bank overdrafts utilized in prior years.*

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NOTES FORMING PART OF THE ACCOUNTS

Note 1: Revenue from Operations Revenue is recognized to the extent that it is probable that the economic benefits will flow to the Company and the revenue can be reliably measured. Sales of goods are recognized when significant risks and rewards of ownership are transferred to the buyer, which generally coincides with dispatch of goods.

Particulars	Mar 31, 2024	Mar 31, 2023	Mar 31, 2022
Sale of Auto Components (Domestic)	165.20	138.50	108.00
Sale of Auto Components (Export)	12.00	8.50	6.50
Sale of Scrap	1.25	1.20	1.00
Total	**178.45**	**148.20**	**115.50**

Note 2: Share Capital *Authorized Share Capital:* 3,00,00,000 Equity Shares of ₹10 each. *Issued, Subscribed and Paid-up:* 2,00,00,000 Equity Shares of ₹10 each fully paid up.

Note 3: Reserves and Surplus Reserves and Surplus primarily consist of General Reserve and Retained Earnings.

- **Balance at beginning of year:** ₹35.00 Cr
- **Add: Net Profit for the year:** ₹17.15 Cr
- **Less: Dividend paid:** --
- **Balance at end of year:** ₹52.45 Cr (approx rounding applied)

Note 4: Borrowings The Company has availed Term Loans from HDFC Bank and SBI secured by a first charge on the fixed assets of the Company. Working capital facilities (Cash Credit) are secured by hypothecation of stocks and book debts.

- **Long-term Borrowings:** ₹28.50 Cr (Previous Year: ₹32.00 Cr)

- **Short-term Borrowings:** ₹16.50 Cr (Previous Year: ₹12.50 Cr)

Note 5: Property, Plant and Equipment (Fixed Assets) The Company follows the cost model for Property, Plant and Equipment. Depreciation is provided on a Straight-Line Method (SLM) over the useful lives of assets as prescribed under Schedule II of the Companies Act, 2013.

- **Gross Block (FY24):** ₹112.00 Cr
- **Accumulated Depreciation:** ₹43.50 Cr
- **Net Block:** ₹68.50 Cr

Note 6: Contingent Liabilities (a) Claims against the Company not acknowledged as debts: ₹0.45 Cr (relating to disputed excise duty). (b) Bank Guarantees outstanding: ₹1.20 Cr.